

GnuCash

For those who find Quicken expensive and Tally too tough, there's GnuCash – a simple, no-frills, multi-purpose budgeting



Open Source accounting

and accounting software that's open-source, free and can be used for both – home and small business purposes. Here's a quick guide to the basics.

Get started

Soon as you start GnuCash, you'll need to set up accounts. At start up, it asks you whether you want to start a new account, import a QIF file or use the tutorial. Choose the first option and the 'OK' button. This should open the New Hierarchy Account Setup Druid (another word for 'Wizard'). You could do this through the File menu above (File > New > New Account Hierarchy). The Druid helps you setup the hierarchy of accounts you need. The hierarchy in GnuCash must be understood in the sequence of Files > Accounts > Transactions – Files contain Accounts which contain Transactions.



Create your first account

Change the currency, which is set by default to US Dollar, to INR by either choosing it from the drop-down list or by



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Pick from dozens of international currency options

simply typing INR into the currency tab (unless you're in another location) and go 'Forward'. This will take you to the 'Choose Accounts to Create' window. You can create different accounts tailor made to your needs.

There are five categories of accounts you could set up: Assets (stuff you own), Liabilities (what you owe), Equity (Assets minus Liabilities), Income (earning) and Expenses (expenditure). The last two accounts

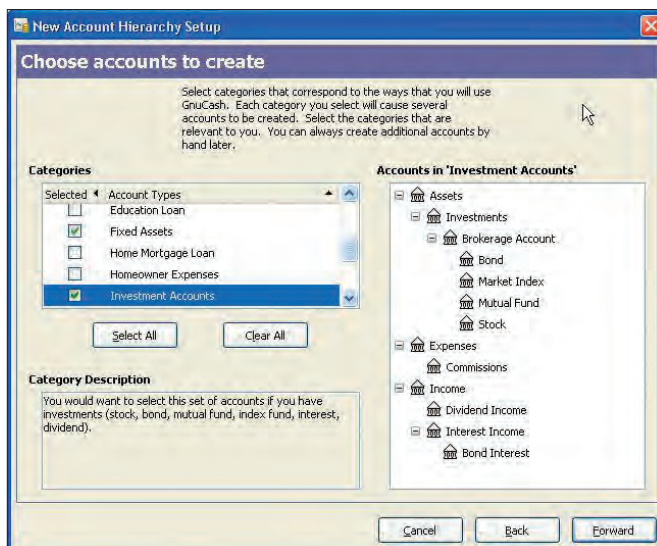
are familiar to Quicken users as 'Categories'. Check the boxes for the kinds of accounts you want to set up. For all domestic purposes and monthly accounting, the default 'Common Accounts' should suffice. Choosing a category on the left will display

the subcategories to the right. So if you check the 'Investment Accounts' box, you'll see account subcategories for everything associated with your investments such as dividends, mutual funds and stocks.

Opening balance

As you go ahead, you'll need to fill in the opening balance under individual headings, except for Equity and Placeholder. Under the 'Current Assets' heading, for example, the 'Checking Account' is the one you usually pull out money from for your general expense, possibly a bank account with a debit card. Similarly, you may have a Savings Bank Account and some money on your person. Assets, Equity and Expense are set to 'Placeholder' status by default. You can fill in the Opening Balances in the sub-categories. Select any of these (e.g. 'Cash in Wallet') and click under the 'Opening Balance'. A tab with a cursor appears for you to fill in the relevant amount.

Click on 'Forward' and 'Apply'. To save the account you'll need to give it a name first. Go to File>Save or File>Save As to open the Save dialog box and fill in the name (e.g. 'Home Accounts') and



Sub-accounts within accounts make it simpler